

CHOOSING A BUSINESS ENTITY

LO 27-1

Articulate the factors that business owners should consider when selecting a business entity.

The best choice of business entity is driven primarily by the risk, tax, and operational objectives of the owner(s) and the type of business operations contemplated. Choosing a business entity is an important part of business planning for start-up entrepreneurs and for managers who are supervising the launch of an additional venture that supplements their existing business. Each form of entity has its attendant advantages, drawbacks, and legal consequences for the *owners*, known as **principals**, of the business. In the context of business entities, *principal* is a generic word for individuals who are entitled to the profits of a business based on their percentage of ownership. In choosing a business entity, principals should consider at least the following factors:

- **Formation:** How easy is the entity to form and maintain? Must there be more than one principal? What annual filings or fees are required, and what formalities need to be followed?
- **Liability:** To what extent are the principals *personally* liable for debts and other contract or tort liabilities of the business entity itself? To take a simple example, suppose Khan owns a consulting business and rents office space from Landlord under a five-year lease agreement. After one year, Khan loses a large client and can no longer afford the office space. Khan cancels the lease and moves the office to the basement of Khan's home. If the assets of the consulting business are insufficient to pay a court judgment in favor of the damaged party (Landlord), does Landlord, as the injured party, have a claim for the balance against Khan's personal assets (such as a personal bank account or stock portfolio)?
- **Capitalization:** How will the business entity fund its operations? May the principal(s) sell ownership rights in the business to raise capital?
- **Taxation of income:** How will tax authorities treat the entity? Will the entity itself pay taxes, or are the taxes passed through to the principals?
- **Management and operation:** How, and by whom, will the business venture be operated? Will the principals be involved in the day-to-day operations of the business? What duties do the principals owe to the business and to each other? How will the profits and losses be split? If a principal decides to leave the business entity, may the remaining principals continue to operate?

 **Table 27.1** sets out the most common forms of business entities.

TABLE 27.1 Most Common Forms of Business Entities		
Name of Entity	Brief Description	Coverage in Text
Sole proprietorship	One-person entity in which the debts and liabilities of the business are also personal debts and liabilities of the principal.	Chapter 27
Partnerships: General Limited	Two or more principals that agree to share profits and losses in an ongoing business venture. Debts and liabilities of the business are also personal debts and liabilities of the general partners. Limited partners have limited liability.	Chapter 28
Limited liability partnership	Two or more principals that agree to share profits and losses in an ongoing business venture. The principals have heightened liability protection from debts and liabilities of the partnership.	Chapter 28
Limited liability company	Two or more principals in an ongoing business venture with potentially favorable tax treatment and limited liability for the principals.	Chapter 29
Corporation	One or more principals that invest money in exchange for ownership (stock). The principals generally have no personal liability for debts and liabilities of the business.	Chapters 30 and 31

Evolution of the Entity

The appropriate choice of business entity varies widely depending on the type of business and the nature of the liabilities associated with its businesses activities. Those engaged in business activities that are largely self-funded and have a relatively low potential for liability (e.g., marketing consultant) do not require the protection and flexibility offered by more complex forms of entity. On the other hand, a retail business that enters into long-term contracts (e.g., a lease agreement) and is subject to liability based on negligence (e.g., a customer slips and falls) would likely require a different analysis.

Most importantly, the initial choice of entity is not set in stone. It may be changed by the principal(s) as the business evolves or as necessity demands. For example, if Zhang, a college student, runs a ^{Page 508} business doing laundry for others in his dormitory, he will not need liability protection and has only one principal. To avoid spending a lot of money on start-up costs, Zhang could form a sole proprietorship. If Zhang starts to get too busy to handle the work by himself, he will need to consider whether the entity should be turned into a partnership or whether he will simply hire an employee to help. Perhaps Zhang will also branch out and start offering a delivery service of authentic Cantonese cuisine to his customer base. In this case, Zhang will need to consider entities that limit his personal liability and allow more flexibility for raising capital. Now his choices have grown to include forming a corporation or a limited liability company.

TAKEAWAY CONCEPTS Choosing a Business Entity

- The best choice of business entity is driven primarily by the risk, tax, and operational objectives of the owner(s) and the type of business operations contemplated.
- Each form of entity has its attendant advantages, drawbacks, and legal consequences for the owners of the business (known as *principals*).
- Entities are not set in stone. Principals may decide to change the entity as the business evolves.